

PANGOLIN EDGE

SIE EXAM CHEAT SHEET

2026 Edition

Built around the four FINRA SIE exam domains

Recent Rule Changes (Critical)

T+1 SETTLEMENT (effective May 28, 2024): U.S. equities, corporate bonds, municipal bonds, and ETFs now settle T+1, not T+2. Many older study guides are wrong.

DIVIDEND DATES: Under T+1, the ex-dividend date and record date are now the SAME DAY (previously ex-date was 1 business day before record date). Buy BEFORE the ex-date to receive the dividend.

EQUITY OPTION EXERCISE: The stock transaction resulting from an equity option exercise now settles T+1 (was T+2). Index and currency option settlements remain T+1.

TREASURY BILL MATURITIES: Treasury now issues T-Bills in 4, 8, 13, 17, 26, and 52 weeks. Older guides may omit the 8-week and 17-week.

Numbers to Memorize

Anchor these before exam day — they drive a disproportionate share of testable points.

Settlement & Trading

Item	Value
Regular-way settlement (equities, corp bonds, munis, govt)	T+1
Cash settlement	T+0 (same day)
Reg T initial margin	50%
FINRA minimum maintenance margin (long)	25%
FINRA minimum maintenance margin (short)	30%
Options contract size (equity)	100 shares
Options premium point value	\$100 per point

Customer Protection

Item	Value
SIPC total coverage	\$500,000
SIPC cash sublimit	\$250,000
Mutual fund max sales charge (FINRA 2341)	8.5%
Gift limit (FINRA / MSRB G-20)	\$300/person/year

AML Thresholds

Item	Value
CTR (Currency Transaction Report)	Cash > \$10,000
SAR (Suspicious Activity Report)	\$5,000+

Investor Thresholds

Item	Value
Accredited individual — net worth	\$1M (excl. primary residence)
Accredited individual — income	\$200K single / \$300K joint
QIB (Qualified Institutional Buyer)	\$100M+ in securities
IA registration: SEC threshold	\$110M+ AUM

Item	Value
IA registration: State threshold	Under \$100M AUM

Retirement

Item	Value
Traditional IRA RMD age	73
IRA catch-up contribution age	50+
Roth IRA RMDs (during owner's life)	None

Rule 144 Holding Periods

Issuer Type	Restricted Stock Hold
Reporting issuer (SEC filer)	6 months
Non-reporting issuer	12 months

Knowledge of Capital Markets (16%)

Market Structure

- **Primary Market:** New securities issued. Issuer receives proceeds. Governed by Securities Act of 1933.
- **Secondary Market:** Existing securities traded between investors. Issuer not involved. Governed by Securities Exchange Act of 1934.
- **Third Market:** Exchange-listed securities traded OTC (institutional).
- **Fourth Market:** Direct institution-to-institution trading via ECNs and dark pools.

SIE Exam Tip: Primary = issuer gets the money. Secondary = investors trade with each other.

Types of Offerings

- **IPO:** First public sale of company stock.
- **Follow-on (APO):** New shares issued post-IPO — dilutive to existing shareholders.
- **Secondary Offering:** Existing shareholders sell their shares — non-dilutive to company.
- **Split / Combo Offering:** Both company and existing shareholders sell.
- **Private Placement:** Sold to limited investors under exemption from registration.

Regulatory Entities & Agencies

Entity	Role	Key Point
SEC	Federal government agency	Top of regulatory hierarchy; oversees all SROs
FINRA	Largest SRO	Regulates broker-dealers and registered reps
MSRB	Writes rules for municipal securities	Does NOT enforce — SEC/FINRA enforce for B/Ds; bank regulators for bank dealers
CBOE	Options exchange SRO	Largest U.S. options exchange
SIPC	Customer protection (broker failure)	NOT a regulator; NOT a government agency
Federal Reserve	Monetary policy; Reg T	Sets credit rules for securities purchases
State (Blue Sky / NASAA)	State-level securities regulation	Parallel authority alongside federal

SIE Exam Tip: The MSRB writes rules but does NOT enforce them — this is one of the most heavily tested distinctions on the SIE.

Securities Act Exemptions

Exemption	What It Allows
Reg D Rule 504	Up to \$10M; limited disclosure; Blue Sky still applies
Reg D Rule 506(b)	Unlimited \$; up to 35 non-accredited; no general solicitation
Reg D Rule 506(c)	Unlimited \$; accredited only; general solicitation permitted; must verify accredited status

Exemption	What It Allows
Rule 144	Resale of restricted/control stock (6-mo / 12-mo holding)
Rule 144A	Resales to QIBs (\$100M+ institutions)
Rule 147 / 147A	Intrastate offerings
Reg A / A+	Mini-registration (\$20M Tier 1 / \$75M Tier 2)
Reg S	Offshore offerings to non-U.S. persons
Reg CF (Crowdfunding)	Up to \$5M annually via SEC-registered funding portals

Capital Market Participants

Role	Function	Earns
Broker (agent)	Executes orders for customers	Commission
Dealer (principal)	Trades from own inventory	Markup / Markdown
Market Maker	Provides liquidity; quotes bid/ask	Spread
Underwriter	Distributes new issues	Underwriting fee
Custodian	Safeguards securities	Custody fees
Transfer Agent	Records ownership; processes transfers	Service fees

SIE Exam Tip: Capacity must be disclosed on every trade confirmation. Agent = commission. Principal = markup/markdown.

Economic Factors

- **Monetary Policy:** Federal Reserve controls money supply and interest rates (open market operations, discount rate, reserve requirements).
- **Fiscal Policy:** Congress + President — spending and taxation.
- **Supply-Side:** Reduce taxes and regulation to encourage production.
- **Keynesian:** Government intervention to manage demand.
- **Monetarist:** Control money supply.

Business Cycle: Expansion → Peak → Contraction → Trough → Expansion

Key Rates: Federal Funds (interbank overnight) | Discount (Fed → banks) | Prime (banks → best customers)

Products & Their Risks (44%)

Equity Securities

Common vs. Preferred

Feature	Common	Preferred
Dividends	Variable; discretionary	Fixed; stated rate
Voting	Yes (1 share = 1 vote typical)	Usually none
Liquidation priority	Last	Before common
Growth potential	Unlimited upside	Limited

Preferred Stock Subtypes

- **Cumulative:** Unpaid dividends accumulate as 'arrear' — must be paid before common dividends.
- **Non-Cumulative (Straight):** Missed dividends are forfeited forever.
- **Callable:** Issuer can redeem at set price (benefits issuer when rates fall).
- **Convertible:** Can be converted into common stock at set ratio (upside potential; lower dividend).
- **Participating:** Fixed dividend PLUS share in extra profits (rare).
- **Adjustable-Rate:** Dividend rate floats with benchmark.

Liquidation Priority

Order	Claim Holder
1 (paid first)	Secured bondholders
2	Unsecured bondholders (debentures)
3	Subordinated debenture holders
4	Preferred stockholders
5 (paid last)	Common stockholders

SIE Exam Tip: Common stock is ALWAYS last in liquidation. Memorize this ladder — it shows up repeatedly.

Dividend Dates (DERP)

Date	What Happens
Declaration	Board announces dividend
Ex-Dividend	First day stock trades WITHOUT the dividend
Record	Must be holder of record to receive (now SAME DAY as ex-date under T+1)
Payable	Dividend is paid

SIE Exam Tip: Mnemonic: DERP. Under T+1 (May 2024+), ex-date and record date are the SAME day. Buy BEFORE the ex-date to receive the dividend.

Rights vs. Warrants

Feature	Rights	Warrants
Duration	Short (30–60 days)	Long (up to 10+ years)
Exercise price	BELOW market	ABOVE market (at issuance)
Issued to	Existing shareholders	Bond/preferred buyers (sweetener)
Purpose	Anti-dilution	Incentive / sweetener

ADRs (American Depositary Receipts)

- U.S.-traded security representing shares of a foreign company
- Priced and pays dividends in USD; held in custody by U.S. bank
- Sponsored = company-involved, registered, often exchange-listed
- Un-sponsored = no company involvement, limited disclosure, OTC

SIE Exam Tip: Currency risk is the ADR-specific risk most often tested.

Restricted vs. Control Stock + Rule 144

- **Restricted:** How you got it (private placement or compensation).
- **Control:** Who owns it (officers, directors, 10%+ owners).
- **Rule 144:** Safe harbor for resale — 6-month hold (reporting issuer) or 12-month (non-reporting); volume limits; Form 144 filing for larger sales.

Corporate Actions

- **Forward Split (2:1):** More shares, lower price, same total value.
- **Reverse Split (1:10):** Fewer shares, higher price; often a warning sign (avoiding delisting).
- **Buyback:** Company repurchases own shares — reduces shares outstanding, increases EPS.
- **Tender Offer:** Public offer to buy shares directly from shareholders, usually at premium.
- **Spin-Off:** Parent distributes shares of subsidiary.

Debt Securities

Bond Fundamentals

- **Par value:** \$1,000 typical. Quoted as % of par ($102.50 = \$1,025$).
- **Coupon rate:** FIXED at issuance — never changes.
- **Premium:** Price > par (coupon > market rate).
- **Discount:** Price < par (coupon < market rate).

SIE Exam Tip: Inverse relationship: rates UP → prices DOWN. The bond seesaw applies to ALL fixed-rate bonds.

Yield Hierarchy

Bond Price	Yield Order
Discount	YTM > Current Yield > Nominal (Coupon)
Par	YTM = Current Yield = Nominal
Premium	YTM < Current Yield < Nominal; YTC < YTM

SIE Exam Tip: For callable bonds trading at PREMIUM, YTC is the most conservative (lowest) yield — the worst case for the investor.

U.S. Treasury Securities

Security	Maturity	Interest	Notes
T-Bills	4, 8, 13, 17, 26, 52 weeks	Discount (no coupon)	Zero credit risk; auction
T-Notes	2, 3, 5, 7, 10 years	Semi-annual coupon	Most actively traded
T-Bonds	20 or 30 years	Semi-annual coupon	Most rate-sensitive
STRIPS	Varies	Zero-coupon	Separated interest/principal
TIPS	5, 10, 30 yr	Semi-annual on adjusted principal	Inflation-protected; phantom income

SIE Exam Tip: Treasury interest is taxable at FEDERAL level only — exempt from state/local. 'Risk-free' refers to default risk only; interest rate risk remains.

Corporate Bonds

- **Secured:** Backed by specific collateral (mortgage bonds, equipment trust certificates, collateral trust).
- **Unsecured (Debenture):** Backed only by issuer creditworthiness.
- **Subordinated Debenture:** Paid AFTER other debt in bankruptcy.
- **Investment Grade:** BBB/Baa and above.
- **High-Yield (Junk):** Below BBB/Baa.

Municipal Bonds

- **GO Bonds:** Backed by 'full faith and credit' (taxing power). Voter approval typical. Safer.
- **Revenue Bonds:** Backed by specific project revenue. No taxing power. Riskier.

- **Tax-Equivalent Yield:** $\text{Muni Yield} \div (1 - \text{Tax Rate})$.

SIE Exam Tip: Muni interest is FEDERAL tax-exempt; often state-exempt if in-state. NEVER put munis in a tax-deferred account — the tax benefit is wasted.

Money Market Instruments

Instrument	Issuer	Key Feature
T-Bills	U.S. Treasury	Safest; discount
Commercial Paper	Corporations	Unsecured; up to 270 days
Banker's Acceptances	Banks	Trade finance
Negotiable CDs	Banks	Tradeable; \$100K+ minimum
Repos	Dealers	Sell + repurchase agreement
Federal Funds	Banks	Overnight interbank

Bond Risks

- **Interest Rate Risk:** All fixed-rate bonds. Longer maturity = more risk. Zero-coupon = MAX.
- **Credit (Default) Risk:** None for Treasuries; varies for corp/muni.
- **Call Risk:** Issuer redeems early (when rates fall).
- **Reinvestment Risk:** Reinvesting coupons at lower rates. Zero-coupon = NONE.
- **Inflation (Purchasing Power) Risk:** Real return erosion.
- **Prepayment Risk (MBS):** Rates fall → faster principal return.
- **Extension Risk (MBS):** Rates rise → slower prepayments.

Derivatives

Options Foundations

- **Call:** Right to BUY at strike. Bullish.
- **Put:** Right to SELL at strike. Bearish.
- **Buyer (Long):** Pays premium; has rights.
- **Writer (Short):** Receives premium; has obligations.
- **Premium:** Intrinsic Value + Time Value. 1 contract = 100 shares; 1 point = \$100.

Max Gain / Max Loss / Breakeven

Position	Outlook	Max Gain	Max Loss	Breakeven
Long Call	Bullish	Unlimited	Premium	Strike + Premium
Short Call	Bearish	Premium	Unlimited	Strike + Premium
Long Put	Bearish	Strike – Premium	Premium	Strike – Premium
Short Put	Bullish	Premium	Strike – Premium	Strike – Premium

SIE Exam Tip: Naked (uncovered) short calls = UNLIMITED loss potential. Time decay is the writer's friend and the buyer's enemy.

In/At/Out of the Money

Status	Call	Put
ITM	Market > Strike	Market < Strike
ATM	Market = Strike	Market = Strike
OTM	Market < Strike	Market > Strike

Basic Strategies

- **Protective Put:** Long stock + Long put = INSURANCE against downside.
- **Covered Call:** Long stock + Short call = INCOME (caps upside).
- **Collar:** Long stock + Long put + Short call = limited risk both directions.

Futures vs. Forwards

Feature	Futures	Forwards
Trading venue	Exchange	OTC
Standardization	Yes	Customized
Counterparty risk	None (clearinghouse)	Yes
Mark-to-market	Daily	At settlement
Liquidity	High	Low

SIE Exam Tip: Options = RIGHTS (buyer can walk away). Futures/Forwards = OBLIGATIONS for BOTH parties.

Packaged & Alternative Products

Investment Companies

Feature	Mutual Fund (Open-End)	Closed-End Fund	ETF
Shares outstanding	Continuous	Fixed	Variable (creation/redemption)
Pricing	NAV + sales charge = POP	Market price (supply/demand)	Market price (intraday)
Redemption	From the fund	On secondary market	On secondary market
Max sales charge	8.5% (FINRA 2341)	N/A (commission)	N/A (commission)

Annuities

- **Fixed Annuity:** Guaranteed return; insurer assumes investment risk; insurance product (not a security).
- **Variable Annuity:** Return based on subaccount performance; annuitant assumes risk; IS a security; prospectus required.

Retirement Accounts

Account	Tax Treatment	Key Rule
Traditional IRA	Pre-tax contributions; taxed at withdrawal	RMDs begin at age 73
Roth IRA	After-tax contributions; tax-free withdrawals	No RMDs during owner's lifetime
SEP IRA	Self-employed; employer contributions	Higher limits
SIMPLE IRA	Small employer; employee + employer	Lower admin burden
401(k) / 403(b)	Pre-tax (Roth option available)	403(b) for 501(c)(3) orgs
457	Governmental or nonqualified	Often deferred comp for govt employees

SIE Exam Tip: Qualified plans = IRS-approved, nondiscriminatory, require trustee. Nonqualified plans can be selective and don't need IRS approval.

Municipal Fund Securities

- **529 Plans:** Education savings. Tax-free growth and withdrawals for qualified expenses.
- **ABLE Accounts:** Tax-advantaged savings for individuals with disabilities.
- **LGIPs:** Local government investment pools — short-term, low-risk pooled investments for municipalities.

DPPs (Direct Participation Programs)

- Pass-through taxation (no entity-level tax)
- Limited partners: passive, limited liability, no management role
- General partners: unlimited liability, manage operations, fiduciary duty
- Illiquid; long holding periods (5–10+ years)

REITs

- Must distribute 90%+ of taxable income to avoid corporate tax

- Equity REITs (rent income) | Mortgage REITs (interest income) | Hybrid
- Listed (liquid) | Registered non-listed (low liquidity) | Private (accredited only)

Investment Risks

Category	Risk	Definition
Systematic (non-diversifiable)	Market Risk	Whole market declines
Systematic	Interest Rate Risk	Rates change; affects bonds & rate-sensitive equities
Systematic	Inflation (Purchasing Power)	Real return erosion
Systematic	Reinvestment Risk	Reinvest coupons/principal at lower rates
Non-Systematic (diversifiable)	Business Risk	Company-specific problems
Non-Systematic	Credit (Financial) Risk	Issuer default
Non-Systematic	Liquidity Risk	Cannot sell quickly at fair price
Non-Systematic	Call Risk	Bond called early
Non-Systematic	Currency Risk	Foreign exchange movement (ADRs, foreign bonds)
Non-Systematic	Legislative / Political	Law or government change
Non-Systematic	Prepayment Risk	MBS — rates fall, faster principal return

SIE Exam Tip: Systematic risk = affects the WHOLE market and cannot be diversified away. Non-systematic = specific to one company/sector and CAN be diversified away.

Trading, Customer Accounts & Prohibited Activities (31%)

Order Types

Order	Guarantees	Risk
Market	Execution	Bad price
Limit	Price (or better)	May not execute
Stop (Stop-Loss)	Triggers at stop; becomes MARKET	Bad price after trigger
Stop-Limit	Triggers at stop; becomes LIMIT	May not execute if price gaps

SIE Exam Tip: Stop orders become MARKET orders when triggered — no price guarantee after the trigger. Stop-limits give price protection but may not fill if price gaps.

Time-in-Force

- **Day Order:** Expires at end of trading day (default).
- **GTC (Good-Til-Canceled):** Remains open until filled or canceled.
- **IOC (Immediate-Or-Cancel):** Fill any available portion immediately; cancel rest.
- **FOK (Fill-Or-Kill):** Fill entire order immediately or cancel all.
- **AON (All-Or-None):** Fill entire quantity or none (can wait).

Settlement (Updated for T+1)

Security	Regular-Way Settlement
Stocks (equities)	T+1
Corporate bonds	T+1
Municipal bonds	T+1
Government securities	T+1
Options (premium)	T+1
Cash settlement (any)	T+0 (same day, special request)

T+1 EFFECTIVE MAY 28, 2024: Older study materials may still say T+2 for equities. The new standard is T+1 across nearly all securities.

Short Selling

- Sell first → buy back later. Profit when price falls.
- MUST be in margin account (not cash account).
- Must LOCATE shares before shorting (Reg SHO).
- UNLIMITED loss potential (price can rise infinitely).

- Short seller pays any dividends to the lender.

Customer Account Types

Account	Key Feature
Cash	Full payment required upfront
Margin	Borrow up to 50% (Reg T initial); 25% maintenance
Options	Requires options agreement and approval
Discretionary	Rep places trades with written authorization
Non-Discretionary	Client decides each trade
Fee-Based	Flat or AUM fee for advice + transactions
Commission	Per-transaction charges

Account Registrations

- **Individual:** Single owner.
- **JTWROS:** Decedent's share passes to surviving owners.
- **TIC (Tenants in Common):** Decedent's share passes to their estate.
- **UGMA / UTMA:** Custodian manages for benefit of minor.
- **Corporate / Partnership / Trust:** Require organizational documents.

Suitability & Customer Communications

- **FINRA 2090 — Know Your Customer (KYC):** Understand the essential facts about every customer.
- **FINRA 2111 — Suitability:** Reasonable basis, customer-specific, and quantitative suitability obligations.
- **Reg BI (Rule 15l-1):** Broker-dealers must act in retail customer's best interest; cannot place own interests ahead.
- **Fiduciary Standard (IA):** Investment advisers owe duties of care and loyalty (HIGHER than Reg BI).

SIE Exam Tip: Reg BI applies to BROKER-DEALERS. Fiduciary duty applies to INVESTMENT ADVISERS. Don't confuse the two standards.

Communications Categories (FINRA 2210)

Type	Audience	Notes
Retail Communication	>25 retail investors in 30 days	Principal approval; often pre-file
Correspondence	≤25 retail investors in 30 days	Reviewed but lower bar
Institutional Communication	Institutions only	No retail; supervisory procedures

Anti-Money Laundering (AML)

Three Stages

- **Placement:** Introducing illegal funds into the financial system.

- **Layering:** Concealing the source through complex transactions.
- **Integration:** Using laundered money for legitimate purposes.

Key Filings & Agencies

Item	Trigger / Role
CTR (Currency Transaction Report)	Cash transactions over \$10,000
SAR (Suspicious Activity Report)	Suspicious activity $\geq$ \$5,000
FinCEN	Treasury bureau — receives CTRs/SARs
OFAC	Administers economic sanctions; SDN list checks
CIP (PATRIOT Act §326)	Customer Identification Program at account opening
PATRIOT Act §314	Information sharing among institutions / law enforcement

Prohibited Activities

- **Churning:** Excessive trading to generate commissions.
- **Front Running:** Trading ahead of a known customer order.
- **Pump and Dump:** Artificially inflate price, then sell.
- **Freeriding:** Buying and selling without sufficient funds (Reg T violation).
- **Selling Away:** Private securities transactions outside firm supervision without approval.
- **Breakpoint Sale:** Failing to inform clients of mutual fund discount thresholds.
- **Guaranteeing Returns:** Promising profits or protection against loss.
- **Sharing in Customer Accounts:** Generally prohibited; immediate family with firm approval may be exception.
- **Borrowing/Lending with Customers:** Generally prohibited; limited exceptions.

Corporate Action Adjustments

- **Stock Dividend (10%):** 100 sh @ \$55 → 110 sh @ \$50 (total \$5,500 preserved).
- **Even Split (2:1):** 100 sh @ \$30 → 200 sh @ \$15.
- **Uneven Split (3:2):** 100 sh @ \$30 → 150 sh @ \$20.
- **Reverse Split (1:2):** 10M sh @ \$9 → 5M sh @ \$18.

Regulatory Framework (9%)

Major Securities Acts

Act	Purpose
Securities Act of 1933	Primary market; registration & prospectus (truth in securities)
Securities Exchange Act of 1934	Secondary market; created SEC; broker-dealer registration; antifraud (10b-5)
Investment Company Act of 1940	Regulates mutual funds, ETFs, CEFs, UITs
Investment Advisers Act of 1940	Regulates IAs; fiduciary standard; Form ADV
Securities Investor Protection Act of 1970	Created SIPC (\$500K / \$250K cash)
Insider Trading & Securities Fraud Enforcement Act 1988	Insider trading penalties up to 3x gain/loss avoided
Telephone Consumer Protection Act 1991	Do-Not-Call list; calling time restrictions
Bank Secrecy Act	CTRs; AML recordkeeping
USA PATRIOT Act 2001	CIP (§326), information sharing (§314)
Uniform Securities Act	Framework for state-level regulation

SIPC Protection

- \$500,000 total per separate customer
- Up to \$250,000 of that may be cash
- Protects against broker-dealer failure (NOT market losses)
- Does NOT cover: commodities, futures, fixed annuities, market declines

SIE Exam Tip: SIPC ≠ FDIC. SIPC protects brokerage assets from firm failure; FDIC insures bank deposits. SIPC is NOT a government agency and NOT a regulator.

Key FINRA Rules

Rule	Topic
2010	Standards of Commercial Honor
2020	Manipulative / Deceptive Practices
2040	Payments to Unregistered Persons
2090	Know Your Customer (KYC)
2111	Suitability
2165	Financial Exploitation of Specified Adults

Rule	Topic
2210	Communications with the Public
2266	SIPC Disclosure
2341	Mutual Fund Sales Charges (8.5% max)
3210	Accounts at Other Broker-Dealers
3270	Outside Business Activities
3280	Private Securities Transactions
3310	AML Compliance Program
4513	Written Customer Complaints
15l-1 (SEC)	Regulation Best Interest (Reg BI)

Key MSRB Rules

Rule	Topic
G-3	Professional Qualifications
G-8 / G-9	Books, Records & Retention
G-11	Primary Offering Practices
G-17	Fair Dealing
G-18	Best Execution
G-20	Gifts (\$300 limit)
G-30	Pricing & Commissions
G-32	Official Statement Delivery
G-37	Political Contributions / Pay-to-Play
G-41	AML for Municipal Dealers

Registration & Continuing Education

- **Form U4:** Registration application for associated persons. Must update for changes.
- **Form U5:** Termination filing. Filed within 30 days of separation.
- **Form ADV:** Investment Adviser disclosure (Part 1 + Part 2 brochure).
- **Form 144:** Filed for larger Rule 144 resales.
- **Regulatory Element CE:** Annual training on industry rules and regulations.
- **Firm Element CE:** Annual firm-specific training on products and procedures.

Statutory Disqualification

- Felony conviction within past 10 years
- Securities-related misdemeanor within past 10 years

- Bar or suspension by regulator or SRO
- Court injunction related to securities activities

Record Retention

Period	Records
Lifetime	Articles of incorporation, partnership agreements, original ledgers
6 years	Blotters, general ledgers, customer account records, customer statements, stock records
4 years	Customer complaints, quarterly filings
3 years	Advertising, trade confirmations, trial balances, order tickets, Forms U4/U5, compliance manuals

Mnemonics & Memory Aids

Concept	Mnemonic	Meaning
Dividend dates	DERP	Declaration → Ex-Dividend → Record → Payable
GO bonds	GO = General + Obligation	Backed by taxing power (taxes)
Revenue bonds	RevenueRevenue	Backed by project revenue (NOT taxes)
Yield hierarchy (discount)	Discount Goes UP	YTM > CY > Nominal
Yield hierarchy (premium)	Premium Goes DOWN	Nominal > CY > YTM
Treasury maturities	Bills < Notes < Bonds	Weeks → 2–10 yrs → 20/30 yrs
Call vs Put	Call it AWAY, Put it TO	Call = right to BUY, Put = right to SELL
Buyer vs Writer	Long pays, Short receives	Buyer has rights; writer has obligations
Long call max loss	Premium only	Limited risk, unlimited reward
Short call max loss	Unlimited	If naked / uncovered
Liquidation order	Secured → Unsec → Sub → Preferred → Common	Common always LAST
AML stages	PLI	Placement → Layering → Integration

Top 10 Trap Questions

Common pitfalls that catch unprepared candidates.

1. *"The MSRB enforces its rules."*

Answer: FALSE. MSRB writes rules but does NOT enforce them. SEC/FINRA enforce for broker-dealers; bank regulators for bank dealers.

2. *"Equity option exercise settles T+2."*

Answer: FALSE. Since May 2024, the resulting equity transaction settles T+1.

3. *"Common stock dividends must be paid."*

Answer: FALSE. Common dividends are ALWAYS discretionary — declared by the board.

4. *"Callable bonds benefit the investor."*

Answer: FALSE. Callable benefits the ISSUER (refinance when rates fall).

5. *"Buying writes / naked short calls have limited risk."*

Answer: FALSE. Naked short calls = UNLIMITED loss.

6. *"A stop order at \$45 sells at \$45."*

Answer: FALSE. Stop becomes a MARKET order at trigger — execution price may differ.

7. *"Buying a stock on the ex-dividend date gets you the dividend."*

Answer: FALSE. Buy BEFORE the ex-date. On or after = no dividend.

8. *"SIPC is a government agency."*

Answer: FALSE. SIPC is a non-profit, member-funded organization. Not a regulator.

9. *"Treasury interest is fully taxable."*

Answer: FALSE. Treasury interest is FEDERAL-taxable only — exempt from state and local.

10. *"Putting munis in an IRA is smart for the tax break."*

Answer: FALSE. The tax exemption is WASTED in a tax-deferred account.

Final Tips for Exam Day

- Read every question twice — SIE traps are usually in the wording.
 - Eliminate two obviously wrong answers first.
 - Watch for 'EXCEPT' and 'NOT' — they flip the question.
 - Pace yourself: 80 questions in 1 hour 45 minutes $\approx$ 1 min 18 sec per question.
 - Mark and revisit anything that takes more than 90 seconds.
 - Trust your first instinct on suitability questions.
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Good luck — you've got this.

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